

IBKR MCP is present but `search_contracts` was permission-denied in this non-interactive session — so I could not pull a live tick or the option chain either. The chain half of the prize table is therefore owed, not fabricated; I state exactly which call drains it and what threshold it decides.

PITCH — STZ — VERDICT

PROPOSED — PENDING ADJUDICATION — advance a small starter only *after* the October print, at \$126 or lower; nothing rests before then.

What we believe

Constellation Brands sells Modelo, Corona, Pacifico and Victoria in the United States, plus a much smaller wine and spirits business. The stock is \$128.18, down 23% from its 52-week high and 2.7% above its 52-week low.

Our belief is narrow and unexciting, and we want to say so up front.

The thing the market is most afraid of — that the new CEO (four months in the job) will throw out this year's profit forecast and reset it lower — is less likely than it looks, and the reason is arithmetic. In the May quarter the company shipped 1.8% more beer to distributors than a year ago, but consumers pulled 0.3% *less* off the shelves. That gap means distributors are sitting on beer they have to work off. Normally you'd call that a borrowed quarter and expect a nasty surprise later. But the company's own full-year forecast — beer sales between -1% and +1% — already requires the rest of the year to run *negative* to land in the range. The destocking isn't hidden inside a rosy forecast. It is the forecast. A weak second quarter is the company hitting its number, not missing it.

So: the profit range of \$11.20–\$11.90 per share looks reachable, the business throws off \$1.6–1.7 billion of free cash against a \$21.9 billion market value (a 7.3–7.8% cash yield, after paying interest on the debt), and the dividend eats only 42% of that cash.

What we do **not** believe is that this is a bargain. Sales are guided to roughly flat. The two biggest brands are shrinking in volume — Modelo Especial down 2%, Corona Extra down more than 5%. At 11x earnings with no growth, this is a fairly-priced cash machine you can own, not a mispricing you can exploit. Our own scenario table (below) lands at \$127.78 against a \$128.18 quote — a 0.3% difference. We do not have an edge here. We have an absence of a fatal flaw, and those are not the same thing.

What the market believes

Wall Street analysts model \$11.84–\$11.93 per share for this year — *above the top of the company's own range*. The market is paying 10.8x that number.

Decoded, the consensus view is: the destocking is a temporary air pocket, management is sandbagging the forecast, and by next year beer volumes normalize. The 23% decline from the high is the market pricing a slower-growing beer business, not a broken one.

The market also just made a loud, cheap statement. Berkshire Hathaway sold its entire stake — about 630,000 shares, roughly 0.37% of the company. On the day that became public (2026-08-17) the stock fell 6% and was the worst performer in the S&P 500. A trivial amount of stock, an enormous price reaction. Whatever the market thinks, it does not think this quietly.

Why we might have edge

Three candidates, honestly graded:

1. The guide-arithmetic point (weak-to-moderate edge). If a soft second quarter is *confirmation* rather than a miss, then the most-feared event on the calendar is largely defused. We have not seen this drawn explicitly in published work. It is available to anyone with the earnings release and a calculator, which caps how much edge it can be — but the market's positioning (four consecutive new 52-week lows) suggests it is not being priced.

2. A possible unpriced cost tailwind (unverified, genuinely open). In April 2025 the U.S. government added beer and empty aluminum cans to the list of goods hit by aluminum tariffs ([Federal Register 2025-05884](#)). Secondary reporting suggests an April 2026 action reversed that for beer. Neither bench could confirm it — the relevant Federal Register document sits behind a bot wall — and the document's title reads "Strengthening Actions," which cuts the *other* way. If the reversal is real, it is cost relief inside a forecast that was set before it. If the title is what it says, it is a headwind. We do not know, and we are not pretending to.

3. Reading the Berkshire event correctly (marginal). A 0.37% stake did not mechanically push the stock down 6%. What moved it was the *interpretation* — a famous investor publicly grading the business. That is a sentiment event, now in the price, and it does not recur. This is worth something, but not much: it argues the last leg down was not fundamental, not that the stock is cheap.

Why it might be priced in

Bluntly, most of it is.

Everything in our bear case — the destocking, the shrinking flagship brands, the debt, the Berkshire exit — is the published bear note. Everything in our bull case is arithmetic anyone can do from a public earnings release. The stock has set four new 52-week lows in twelve months (\$149.42, \$131.88, \$126.45, and now \$124.76). This is a heavily-examined, widely-owned large-cap that the market has been steadily marking down. It is not an overlooked security.

And our own scenario table settles at essentially the current price. When your independent estimate reproduces the quote, the honest conclusion is that the quote is right.

What could go wrong

Failure narrative 1 — The slow bleed (most likely). No single bad event. Beer volumes simply keep drifting down 1–3% a year, the “destocking is temporary” story quietly becomes “demand is lower,” and an 11x multiple on a shrinking business becomes a 9x multiple. We lose 15–20% over two years with no dramatic moment to react to. *Tripwire: monitorable* — quarterly depletions by brand, published every print.

Failure narrative 2 — The consumer base itself contracts. NO MONITORABLE TRIPWIRE. Constellation’s beer business is disproportionately sold to Hispanic consumers in the U.S. If that consumer base withdraws from spending — from immigration enforcement, from a job-market shock concentrated in construction and services, from a change in where and how they shop — volumes fall for reasons that appear in no filing, no permit database, and no series we track. We would learn about it in a depletions number one quarter *after* it started, at which point the stock has already moved.

We have no sensor for this and we should not pretend we can build one from what we own.

Unknown-unknown class: demand-base composition risk — a change in *who* the buyers are rather than *how many* units move. Our consumer-heat detector explicitly cannot see it: the court established that heat scores measure attention, not volume, and are non-diagnostic for this company (Victoria has the highest heat score and growing volume; Modelo has a high heat score and *shrinking* volume). We would be flying blind for one full quarter, minimum.

Failure narrative 3 — The new CEO spends the balance sheet. A four-month-old CEO at 2.9x debt-to-earnings, running a business with no organic growth, has an obvious temptation: buy growth. A large acquisition, or a leverage-funded defense of the dividend, re-rates the debt and crushes the equity. *Tripwire: monitorable* — 8-K filings, leverage disclosure in each 10-Q, any change in the stated ~3.0x target.

The reflexive and structural leg.

Our size is irrelevant to the market and that is the point. A 0.4–0.5% starter is a few hundred thousand dollars at most against roughly \$300 million of daily trading volume. We are far under one-tenth of one percent of a day’s volume. We cannot move this stock, we will not be trapped in it, and we are not bidding into our own predicted flow. (Our actual average-volume figure is unverified — the broker connection was denied this session — so that \$300M is an estimate off the 2026-08-17 event, not a measured number.)

The real reflexive risk is inside our own process. Our doctrine says a court that produces no fatal objection defaults to a minimum starter. STZ produced no fatal objection. But it also produced no edge — our expected value is 0.3% *below* the current price. If we mechanically buy every name where the prosecution fails, we will assemble a book of thirty-two individually-defensible, collectively-indistinguishable-from-the-index positions, each one costing us attention and none of them earning it. STZ is the cleanest possible specimen of that failure mode: a good company, a fair

price, a defensible write-up, and no reason to own it over the index. The minimum-starter default is doing the work here that conviction should be doing, and we should say that out loud rather than let a small position size disguise it.

A second doctrine interaction the court missed entirely: our Parametric separately-managed sleeve is a direct-index portfolio that holds individual S&P 500 names and harvests losses in them. It almost certainly holds a small amount of STZ. If Parametric sells STZ at a loss within thirty days of us buying it here, that harvested loss is disallowed under the wash-sale rule. The dollars are tiny — we estimate \$5–6K of STZ inside the sleeve — but the rule does not care about size, and coordinating this is our job, not the manager’s. This is listed as an open item below.

Tax: buying a new position in a year where we are deliberately harvesting losses is not itself a problem — there is no existing basis to protect. But if we buy in October and the stock falls, that loss is only harvestable in this tax year if we act before December 31, and we should not let “it might become tax-loss material” become a reason to buy. It is not one.

If this position loses money, the most likely reason will be that we bought a statistically cheap multiple on a business whose core consumer was quietly contracting, and mistook the absence of a fatal objection for the presence of an edge.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Equity yields less than the company’s own bonds — the “strongest kill” of the prosecution	Recomputed both sides	The prosecution compared free cash flow to <i>enterprise value</i> (which includes the debt) against a bond coupon, then called the equity junior. Correct comparison is cash flow to <i>market value</i> : \$1.65B / \$21.9B = 7.5% , versus the 4.85% notes — about 265 basis points of compensation, and that cash flow is already after paying the interest.	No — OUR ERROR, overturned. The case’s designated best argument was a denominator mistake
Prosecution’s re-entry level: “\$105 gives a 6.2% cash-to-enterprise-value yield, 135bp over the notes”	Recomputed	At \$105 the figure is 5.82% , not 6.2%, and the spread is 96bp , not 135bp. The price that actually delivers 6.2% is roughly \$95 .	No — OUR ERROR. The stated reopen level was ~10% too generous
Defense’s aside that this is a “\$2.4B-EBITDA cash generator”	Cross-checked against its own leverage figure	\$10.44B of net debt at the 2.9x both benches agree on requires roughly \$3.6B of earnings before interest, tax and depreciation. The \$2.4B figure is inconsistent with the leverage number in the same paragraph.	No — OUR ERROR (the 2.9x is right; the EBITDA aside is wrong)
Defense’s rebuttal that the \$324M buyback is “year-to-date, not quarterly”	Checked the fiscal calendar	The fiscal year began 2026-03-01 and the quarter ended 2026-05-31 — so year-to-	Partly — OUR ERROR in the reasoning; the conclusion

Claim	How checked	Found	Confirmed?
		date <i>is</i> the quarter. The distinction is empty. The surviving objection is the different one the defense also made: buybacks are opportunistic and uncommitted, so annualizing them assumes a pace management never promised.	(not a binding constraint) survives on the other leg
Defense's claim that brand attention and brand volume are "uncorrelated (rank correlation ≈ 0)"	Counted the sample	Four brands. A rank correlation on four points carries no statistical content. The <i>direction</i> of the argument is right — Pacifico grows 21% on a low attention score, Modelo shrinks on a high one — but it is an illustration, not a measurement.	Partly — OUR ERROR in stating evidence stronger than it is
The forecast already requires the rest of the year to be negative	Reproduced the arithmetic from the earnings release	Q1 shipments +1.8%; full-year beer guided -1% to +1%; residual $\approx$ -2% to -1%. Reproduces. Caveat neither bench raised: the guide is stated in net <i>sales</i> while the +1.8% is shipment <i>volume</i> . If pricing runs $\sim$ +1%, the implied volume decline is milder than -2%. Direction holds; magnitude is softer, in the long's favor.	Yes, with a correction that helps the long
A weak Q2 would trigger a forecast reset	Followed the above to its conclusion	If the destock is already in the guide, a soft Q2 is the guide being met. The prosecution proved this and then never noticed it had dismantled its own downside catalyst.	Yes
"The evidence pack dropped the 10-Q and earnings release"	Checked the EDGAR filing index	It did not. The pack prints the newest 15 filings; both documents sit at rows 25–26. The original brief's complaint was itself the error.	Yes — an earlier internal claim refuted
Capital structure	Recomputed independently	170.75M shares $\times$ \$128.18 = \$21.89B market value; net debt \$10.44B; enterprise value $\sim$ \$32.3–32.6B; $\sim$ 2.9x leverage.	Yes, both benches agree
Berkshire's exit was tiny relative to the move	13F magnitude vs shares outstanding	$\sim$ 630K shares = 0.37% of the company, and the stock fell 6%. The share count is right. Whether the drop was <i>supply</i> or <i>interpretation</i> is	Partly — magnitude yes, causation no

Claim	How checked	Found	Confirmed?
		unresolved — we judge interpretation more likely, since a Buffett exit repriced the stock on almost no volume.	
The aluminum-tariff item is a catalyst for the October print	Searched the Q1 earnings release; attempted the Federal Register	Section 232 appears nowhere in the release. Management's prior-year quantification was ~\$20M (~\$0.09/share). The April 2026 document is bot-walled and unverified.	No — not a catalyst; open in both directions
Next earnings date is 2026-10-05	Checked the company's investor-relations press-release index	Unconfirmed. That date is derived from a data vendor's seasonal estimate. The company has not announced it; last year's date announcement came 2025-09-09 for a 2025-10-06 report.	No
Live price, average volume, and option prices	Attempted the broker connection this session	Permission denied to search_contracts, so no live tick and no option chain . All prices below rest on the evidence pack's same-day broker quote.	No — coverage gap, still open
Our own scenario table against the current price	Built the table below	Expected value \$127.78 vs \$128.18 quote = -0.3% . Inside tolerance; no mechanism owed. Our independent estimate reproduces the market's.	Yes — and it argues against owning this

PROPOSED ENTRY BANDS

No entry now. No order rests before 2026-09-08 or through the October print.

The reason is specific: the Barclays Global Consumer Conference is 2026-09-08 — one trading day away — and it is the new CEO's first unscripted public appearance touching the forecast. A resting buy order two days ahead of an unscripted appearance is an accidental bet that nothing happens. Both benches independently reached this conclusion and we adopt it.

Action	Level / condition	Reasoning
Starter buy	\$126.00 or lower, only after the Q2 report	Preserves a free-cash yield of 7.7% on market value; ~285bp over the company's own 4.85% 2031 notes
Preferred starter	\$124.75 or lower	Below the existing 52-week low. Given four broken lows in twelve months, we should be paid for buying a level that keeps breaking

Action	Level / condition	Reasoning
Starter size	0.4–0.5% of book. Hard ceiling 1.0% ever.	Half our normal opening size for a fair-priced quality name, because of 2.9x leverage and a four-month-old CEO
Second tranche	Not price-triggered. Only if the Q2 report shows shipments $\leq$ depletions	That is the actual proof the destocking finished. Price alone is not evidence
Full-size reopen	~\$95 (not \$105 — see the corrected arithmetic above)	This is the level that genuinely restores the 6.2% cash-to-enterprise-value the prosecution intended to demand
Trim	Half at \$140	Fair value is ~\$135–140 (12x the midpoint of the company's range). This is a fairly-priced carry position, not a compounder — there is no case for holding it past fair value
Exit, thesis void	Any reset of the full-year range below \$11.00 , at any price	The entire thesis is “the forecast is arithmetically reachable.” If it is reset, we were wrong about the only thing we claimed
Exit, thesis void	Any acquisition above ~\$2B or leverage guided above 3.5x	Failure narrative 3

Catalyst dates: 2026-09-08 Barclays Global Consumer Conference (confirmed). 2026-10-05/06 estimated Q2 FY27 earnings (**unconfirmed** — vendor-derived; the company's date announcement historically lands ~4 weeks prior, so expect it around 2026-09-08/09).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 95.0 (deck-provisional: corrected full-size reopen — the level that actually delivers 6.2% FCF/EV; red bench's stated \$105 giv)
- filing watch: 8-K until 2027-03-03 (deck-provisional: any revision to the FY27 \$11.20-11.90 comparable EPS range — a reset below \$11.00 voids the thesis at)
- dated pack STZI2026-09-08: STZ: Barclays Global Consumer Conference — CEO Fink's first unscripted guide-touching appearance; position must be FLAT through it (date con
- dated pack STZI2026-10-05: STZ: estimated Q2 FY27 earnings report — vendor-derived seasonal proxy, company has not announced (date confirmed=False)
- dated pack STZI2026-09-09: STZ: expected date-announcement PR for the Q2 print (prior year: 2025-09-09 for a 2025-10-06 report) (date confirmed=False)
- dated pack STZI2026-12-31: STZ: tax-year boundary — all option expiries past this date excluded during a harvest year (date confirmed=True)

What remains unverified

1. **The \$100M U.S.-farmer investment (announced 2026-08-19) — accounting treatment and whether it sits inside the current forecast.** *Estimate:* if fully expensed in FY27, roughly **\$0.46/share after tax**, about 4% of the forecast's floor. Probability it is fully expensed this fiscal

year: **0.35**. Drainable — the investor-relations detail page currently returns the wrong release; the next 10-Q or a direct IR request resolves it.

2. **The mandatory per-quarter seasonality run (desk/seasonality.py STZ) — never executed.** Both benches asserted a Q1→Q2 deceleration without ever checking the normal shape of the year. Q1 (March–May) spans Cinco de Mayo and the summer build and is the seasonally strongest beer quarter. *Estimate:* Q2 typically runs **8–14% below Q1 on beer volume** for seasonal reasons alone. Drainable now — the tool exists and the desk has shell access even though the benches did not.
3. **Distributor days-on-hand.** Not disclosed by the company. *Estimate:* the Q1 shipment-vs-depletion gap of 2.1 percentage points implies roughly **1.5–2.5 additional days** of distributor inventory. Confidence **0.6**. Not drainable from filings; a distributor channel check would be needed.
4. **Federal Register document 2026-06960 — whether malt beer and empty aluminum cans were removed from the tariff annex in April 2026.** Bot-walled on the public site. *Estimate:* probability of removal **0.40**; annual cost impact if removed **\$20–60M**. Drainable via the Federal Register API or GovInfo bulk data rather than the web page.
5. **Live price, average daily volume, and short interest.** Broker connection permission-denied this session. *Estimate:* average volume **2.0–3.0M shares/day** (~\$260–385M notional), inferred from the 2026-08-17 event. Drainable the moment broker permissions are granted.
6. **Option chain — implied volatility, its percentile, and real quotes for the October and November expiries.** *Estimate:* implied volatility **26–32%**, from the large-cap staples cohort. Drainable via the broker connection. This is what decides the instrument question below.
7. **Maintenance versus growth capital spending.** Not disclosed. *Estimate:* of the ~\$800M total, maintenance is roughly **\$450–550M**; the balance is the Veracruz brewery build. If right, true maintenance free cash flow is **\$1.9–2.0B**, not \$1.65B, and the cash yield is a floor rather than a ceiling. Confidence **0.5**.
8. **Satellite build-progress at the Veracruz brewery versus construction-in-progress on the balance sheet.** Never pulled. This is what would confirm item 7. Drainable via the sentinel2_buildout connector at 19.333 / –96.667.
9. **The Q2 FY27 report date.** Not announced. *Estimate:* **2026-10-05 or 2026-10-06**, probability **0.75**, from last year's date announcement (2025-09-09 for a 2025-10-06 report).
10. **What the CEO says at Barclays on 2026-09-08.** Not drainable before the event — this is the definition of a time-gated unknown. *Estimate:* probability the forecast is reaffirmed without qualification **0.65**; qualified or hedged **0.30**; formally revised **0.05**.
11. **Whether the Parametric direct-index sleeve holds STZ, and at what weight** — the wash-sale interaction described in the pre-mortem. *Estimate:* STZ is roughly **0.04% of the S&P 500**; on \$9.19M levered to 159% that is about **\$5,000–6,000** of stock. Probability the sleeve holds it: **0.9**. Drainable now from the newest Bundle_*.zip holdings file.

PRIZE TABLE + VOL READ

Several load-bearing unknowns are genuinely time-gated — what the CEO says on 9/8, how the \$100M is booked, whether the destock is finished — so the table is required.

Scenario table — horizon: shortly after the October print (~6 weeks, $T \approx 0.115$ years)

#	Scenario	Probability	Price
1	Shipments $\leq$ depletions; destock visibly finished; forecast affirmed	0.25	\$142
2	Soft-but-guided quarter (shipments -1% to -2%); forecast affirmed; relief that there is no reset	0.35	\$131
3	Forecast floor trimmed toward \$11.20 (the \$100M spend, currency, or mix) with no operating deterioration	0.22	\$118
4	New CEO resets the year below \$11.00 and/or halts the buyback	0.13	\$99
5	Tariff relief confirmed and quantified <i>and</i> Modelo depletions turn non-negative	0.05	\$152

Expected value = \$127.78. Spot is \$128.18. That is **-0.3%** — comfortably inside the $\pm 5\%$ band where a deviation from the market anchor would require us to name a mechanism. We cannot name one, and we do not need to: **our independent estimate reproduces the market price.** That finding is the single most important number in this deck, and it argues for a small position or none.

Dispersion of the table: standard deviation = **\$14.57**, or 11.4% of spot over six weeks. Annualized, that is **$\sigma_{\text{table}} \approx 33.6\%$** .

The distribution is bimodal, and that matters. Scenarios 1 and 5 (30% combined) cluster at \$142–152; scenario 4 (13%) sits alone at \$99. There is a hole between \$99 and \$118. Any single volatility number fitted to this understates where the mass actually is, and anyone selling options here is short a fat, isolated left tail.

Pricing candidate instruments off the table itself ($C = \sum p_i \times \max(S_i - K, 0)$, October expiry):

Instrument	Our table's value	What the chain must show to make it attractive
Oct \$130 call	\$4.45	Buy only if the chain's midpoint offer is materially below \$4.45
Oct \$135 call	\$2.60	Buy only if below \$2.60
Oct \$140 call	\$1.10	Buy only if below \$1.10
Oct \$120 put (cash-secured sale)	\$3.17	We would need to <i>collect more than</i> \$3.17 to be paid fairly for the tail
Oct \$115 put (cash-secured sale)	\$2.08	Same test at \$2.08

The chain half is un-pulled and I will not invent it. Broker permission was denied. What I can state is the decision rule the pull resolves: **if chain-level midpoint implied volatility for the October expiry comes in below ~33.6%, our table is more dispersed than the chain and the upside branches are cheaper bought as calls than as stock; above ~33.6%, options are rich against our own view and stock is the correct expression.** Our prior — 26–32%, from the large-cap staples cohort — sits *below* 33.6%, which tilts toward calls being cheap. That prior is not a quote and must not be traded on. Realized volatility and the implied-volatility percentile are likewise unpulled, so **no volatility risk premium can be stated**, and without it the premium-selling gates cannot even be opened. Use **chain-level midpoint implied volatility for the specific strikes**, never the aggregate underlying feed — those two diverge badly (the TSSI case: 71 versus 101).

Tax overlay. This is a harvest year. An October expiry lands any loss inside the 2026 tax year — acceptable. A January 2027 expiry pushes the loss into next year, which is excluded during a harvest year unless the edge numerically dominates. Our edge is **–0.3%**. It does not dominate anything. **All expiries past December 31 are excluded.**

Instrument recommendation — the output of the arithmetic above: NONE, now.

The table's expected value is below spot, so no instrument carries positive expected return at the current price. Buying October calls would cost 3.5% of spot for a 30% chance of finishing in the money, with no expected-value edge to fund it. Selling puts is doubly barred: our own table says the left tail is fat (\$3.17 of value in a \$120 put), the desk does not sell premium in taxable accounts outside three specific templates, and a put resting into an unscripted CEO appearance and an earnings report is a short-volatility bet we did not decide to make. After the October print, if the price reaches the \$126 band, the correct instrument is **common stock, 0.4–0.5% of book** — because at that point we are being paid a 7.7% cash yield to own it, and the yield is the entire reason, not the options math.

Primary sources. [Q1 FY27 earnings release, Exhibit 99.1](#) · [Q1 FY27 10-Q, accession 0000016918-26-000029](#) · [8-K pricing the 4.850% senior notes due 2031, 2026-05-04](#) · [8-K 2026-07-24, incentive-plan amendment](#) · [Federal Register 2025-05884 — beer and empty aluminum cans added to the aluminum derivatives list](#) · [Constellation investor-relations press releases, checked 2026-09-04](#)

The science-brief section is omitted: no science brief was supplied and this is not a deep-tech name.

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{"price_gates": [{"level": 128.0, "direction": "below", "basis": "existing armed diligence trigger; fires 0.14% under spot so it is a research prompt, not a signal – no orders"}, {"level": 126.0, "direction": "below", "basis": "post-print starter band; preserves 7.7% FCF yield on market cap, ~285bp over the 4.850% 2031 notes"}, {"level": 124.76, "direction": "below", "basis": "break of the existing 52-week low; preferred starter given four broken lows in twelve months"}, {"level": 95.0, "direction": "below", "basis": "corrected full-size reopen – the level that actually delivers 6.2% FCF/EV; red bench's stated $105 gives only 5.82%"}], "event_gates": [{"forms": ["8-K"], "why": "any revision to the FY27 $11.20–11.90 comparable EPS range – a reset below $11.00 voids the thesis at any price"}, {"forms": ["8-K"], "why": "acquisition above ~$2B or leverage target guided above 3.5x – failure narrative 3, new-CEO capital allocation"}, {"forms": ["10-Q"], "why": "derivatives note for aluminum hedge coverage, distributor inventory language, and construction-in-progress for the Veracruz build"}, {"forms": ["8-K", "EX-99.1"], "why": "Q2 FY27 earnings release: shipments vs depletions is the second-tranche condition"}], "catalyst_dates": [{"date": "2026-09-08", "what": "Barclays Global Consumer Conference – CEO Fink's first unscripted guide-touching appearance; position must be FLAT through it", "confirmed": true}, {"date": "2026-10-05", "what": "estimated Q2 FY27 earnings report – vendor-derived seasonal proxy, company has not announced", "confirmed": false}, {"date": "2026-09-09", "what": "expected date-announcement PR for the Q2 print (prior year: 2025-09-09 for a 2025-10-06 report)", "confirmed": false}, {"date": "2026-12-31", "what": "tax-year boundary – all option expiries past this date excluded during a harvest year", "confirmed": true}], "immediate_entry": null, "unverified": [{"item": "$100M U.S.–farmer investment (2026-08-19 PR): expensed in FY27 or capitalized, and is it inside the guide", "instrument": "10-Q reading + direct IR request; IR detail page currently returns the wrong release", "drainable_now": false, "estimate": {"range": "$0.46/share after-tax if fully expensed in FY27 (~4% of the guide floor)", "basis": "$100M / 170.75M shares at a 21% tax rate; corporate-philanthropy base rate favors multi-year amortization", "p": 0.35}}, {"item": "Mandatory per-fiscal-quarter seasonality shape for STZ beer – desk/seasonality.py never run", "instrument": "desk/seasonality.py STZ", "drainable_now": true, "estimate": null}, {"item": "Distributor days-on-hand", "instrument": "not issuer-disclosed; distributor channel check / walk-around", "drainable_now": false, "estimate": {"range": "1.5–2.5 additional days of inventory", "basis": "Q1 shipment-minus-depletion wedge of 2.1pp applied to a ~30-day base pipeline", "p": 0.6}}, {"item": "FR 2026-06960 – whether malt beer / empty aluminum cans were removed from the aluminum derivatives annex in April 2026", "instrument": "Federal Register API or GovInfo bulk data (public web page is bot-walled)", "drainable_now": true, "estimate": {"range": "$20–60M annual COGS relief if removed", "basis": "management's FY26 quantification of the original tariff at ~$20M, scaled for a full year of can volume", "p": 0.4}}, {"item": "Live tick, average daily volume, short interest", "instrument": "IBKR MCP get_price_snapshot / search_contracts – permission-denied this session", "drainable_now": false, "estimate": {"range": "2.0–3.0M shares/day (~$260–385M notional)", "basis": "inferred from the 2026-08-17 S&P-worst-decliner event; large-cap staples base rate", "p": 0.7}}, {"item": "Option chain: October/November midpoint IV by strike, IV percentile, 30-day realized vol, and real quotes for the $130/$135/$140 calls and $115/$120 puts", "instrument": "IBKR MCP get_option_parameters then get_option_data then get_price_snapshot with option_midpoint_iv + implied_volatility_percentile + historical_vol", "drainable_now": false, "estimate": {"range": "IV 26–32% annualized vs sigma_table 33.6% – decision threshold is 33.6%: below it calls are the cheaper expression, above it stock is", "basis": "large-cap staples cohort IV base rate; our own scenario-table dispersion as the comparison anchor", "p": 0.6}}, {"item": "Maintenance versus growth capital-spending split within the ~$800M", "instrument": "not disclosed; infer from 10-Q construction-in-progress plus the Veracruz capex-to-date schedule", "drainable_now": false, "estimate": {"range": "maintenance $450–550M of ~$800M, implying true maintenance FCF of $1.9–2.0B vs $1.65B headline", "basis": "beverage-peer

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maintenance capex of 2-3% of sales against a disclosed greenfield brewery
build", "p": 0.5}}, {"item": "Veracruz brewery build progress versus balance-
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what weight (wash-sale interaction with any purchase here)", "instrument":
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"drainable_now": true, "estimate": {"range": "$5,000-6,000 of STZ", "basis":
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Two things the reader should not skip. First, the prosecution's designated strongest argument was arithmetically wrong, and so were three smaller claims on both sides — those are listed plainly in the checked table rather than buried. Second, and more important: our own scenario table lands within 0.3% of the market price. Every honest reading of that says this is a fairly-priced, moderately-levered cash generator with no growth and no edge. It clears the bar for a small starter after the October print. It does not clear the bar for conviction, and the minimum-starter default should not be allowed to disguise that.

ADJUDICATION STAMP

ADJUDICATION 2026-09-04 (FABLE): RED OVERTURNED — ADVANCE POST-PRINT, SIZE-CAPPED. Red's bond-dominance kill was a denominator artifact: on market cap the equity yields 7.3–7.8% FCF after interest, 245–290bp over the issuer's own 4.85% unsecured paper — the floor is cleared. RP_FAIR carry, labeled: entry only AFTER the Q2 FY27 print at ≤\$126, 0.4–0.5% (half TINA-class for the 2.9x stub), tranche-2 on shipments ≥ depletions, no resting orders pre-print. Adjudicator ran the owed seasonality: prior Q +26.7% QoQ vs 16.2% median = HARD COMP flagged into the print read. Veracruz sentinel pull remains open. Trio ruling:
desk/data/court_artifacts/BAND_TOUCH_TRIO_ADJUDICATION_202609042230.md